# FINANCIAL TECHNOLOGY KEY SEGMENTS

The payments and BaaS sector dominates India's fintech landscape due to widespread demand for digital payment methods and customised banking solutions. Some of the sectors are -

**Banking-as-a-Service (BaaS)** The platform enables non-banking entities to offer banking services, reducing costs and improving market access through instant lending, background screening, and credit score calculation.

**Payments/PayTech** offers prepaid cards, QR code payments, point of sale, corporate cards, and bulk invoice payments, revolutionising the payments sector with services like Cashfree Payments.

**WealthTech** firms like IndWealth, Zerodha, and Smallcase are enhancing India's digital investment ecosystem by offering personalized investment recommendations, investment advisory, wealth management, and alternative platforms using advanced technology.

**LendTech** companies are enhancing credit facilities and services for small and medium enterprises, addressing the credit gap through various offerings such as BNPL, credit scoring, P2P lending, instant gold loans, and education loans. Leading LendTech companies in India include ZestMoney, Lendingkart, and InCred.

**RegTech:** Indian RegTech companies like ClearTax, EaseMyGST, and KhataBook offer comprehensive compliance services, including KYC, ID verification, tax compliance, digital onboarding, AML compliance, fraud detection, and risk management.

**InsurTech** companies like Policybazaar, Acko, Digit, and Easypolicy are leveraging advanced technologies to create customer-centric insurance products and services, including digital insurance and insurance comparison platforms.

**Blockchain/Crypto:** Cryptocurrency investment surged to $30 million in 2021, 5x higher than 2020, driven by fintech companies like WazirX and CoinSwitchKuber, while regulators and companies aim to streamline investments.

**Cybersecurity:** In 2020 and 2021, the crypto and cybersecurity segments in Fintech Verse experienced significant growth, with platforms focusing on anti-money laundering and fraud detection in India.

"India is at the forefront of Digital & AI technology and entrepreneurial spirit. We have the technology and talent for the Fintech world. It requires the next level of investments and perseverance to design the last 2% for global needs and expectations."

— ***Arun Jain**, Chairman and Managing Director, Intellect Design Arena*

## Q&A

- **What was your inspiration behind setting up InCred Finance?**
  While at Deutsche Bank, I saw the Indian financial services market as a potential opportunity to combine traditional banking with tech-led practices. I started my entrepreneurial journey with InCred Finance in 2016, focusing on providing quick, hassle-free lending to under-served consumers and small businesses, with cutting-edge technology and best-in-class risk management at core of its business. We built deep moats through a diversified loan book - Personal Loans, Education Loans & SME Loans, best-in-class underwriting, robust risk analytics, scalable tech platform, and extensive customer support and collections infrastructure. InCred Finance has grown significantly in 7 years, reaching INR 9,000 Cr as on March 2024, helping over 3,50,000 underserved customers, and joining the prestigious unicorn league with an equity fundraise and CRISIL rating upgrade to AA-, something that makes me very proud given our young vintage.
- **What unique role does InCred Finance play in the fintech space?**
  I believe we are a unique player in the lending space today, one that straddles the best of both - 'traditional NBFCs' and 'digital fintechs'. Our conservative risk-first ethos, diversified loan book, and on-ground customer support and collections infrastructure make us a traditional NBFC and we are also as much of a 'fintech' given our complete tech-led approach to risk analytics, customer analytics and app-based customer experience, all managed by our in-house 150+ member tech team sitting out of Bengaluru.
- **You have also expanded horizontally into many more businesses under the InCred Group. Tell us more about it.**
  Our vision is to play a key part in fulfilling the financial aspirations of every Indian family and business. After stabilising the NBFC business, I founded InCred Capital in 2019, as an integrated platform for investment banking & capital markets, wealth and asset management. Within four years of launch, InCred Capital has crossed an annual revenue of INR 500+ Cr and is already profitable. InCred Money is our third business vertical, aiming to establish an integrated B2C and B2B2C digital investment platform targeting the mass affluent and retail segment.



**BHUPINDER SINGH**
Founder & Group CEO, InCred